

ABC MERCHANDISING

Income Statement

For the Month Ended October 31, 2017

	Amount
Sales	₱95,000.00
Less: Sales Discount	(1,500.00)
Less: Sales Returns and Allowances	(5,000.00)
Net Sales	88,500.00
<i>Cost of Goods Sold</i>	
Purchases	60,000.00
Add: Freight-In	2,500.00
	62,500.00
Less: Purchase Discount	(1,800.00)
Less: Purchase Returns and Allowances	(15,000.00)
Cost of Goods Sold	45,700.00
Gross Profit	42,800.00
<i>Operating Expenses</i>	
Freight-Out	1,450.00
Salary Expense	8,000.00
Rent Expense	10,000.00
Utilities Expense	12,180.00
Total Operating Expenses	31,630.00
Net Income	₱11,170.00

ABC MERCHANDISING
Statement of Changes in Owner's Equity
For the Month Ended October 31, 2017

	Amount
ABC, Capital, October 1, 2017	₱200,000.00
Add: Net Income	11,170.00
Subtotal	211,170.00
Less: Drawing	(10,000.00)
ABC, Capital, October 31, 2017	₱201,170.00

ABC MERCHANDISING

Balance Sheet

October 31, 2017

Assets

Current Assets

	Amount
Cash	₱198,020.00
Office Supplies	3,150.00
Total Current Assets	201,170.00

Non-Current Assets

	Amount
Office Equipment	₱45,000.00
Total Assets	₱246,170.00

Liabilities and Owner's Equity

Liabilities

	Amount
Accounts Payable	₱45,000.00

Owner's Equity

	Amount
ABC, Capital	₱201,170.00
Total Liabilities and Owner's Equity	₱246,170.00